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POLICY NUMBER: **FP-FIN-001**

FIXED ASSET

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton") accounting for fixed assets in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton owns a wide range of fixed assets including, but not limited to: Land, Buildings & Building Improvements, Leasehold Improvements, and Furniture, Fixtures, & Equipment ("FF&E").

SCOPE

The scope of the Policy extends to all fixed assets held by Hilton including fixed assets at leased properties for which Hilton is deemed the owner of the improvements. The characteristics of fixed assets are:

- Fixed assets are acquired for use in operations and not for resale;
- They have a useful economic life that exceeds 1 year;
- They possess physical substance;
- They extend the useful economic life of an existing asset.

This Policy also covers the subsequent measurement of finance lease right-of-use ("ROU") assets.

The following costs should **not** be capitalized as fixed assets:

- Items with a unit cost of less than \$1,000 (except for bulk purchases where the unit price exceeds \$50 and the total purchase exceeds \$1,000);
- Repairs of existing equipment, including component parts (which maintain an asset rather than extend the useful life). For example: Replacement of a motor/compressor at a cost of \$385 in an in room HVAC unit would not be capitalized since the replacement motor is less than \$1K. Replacement of 10 motors/compressors with a total cost of \$3,850 in an in room HVAC would be capitalized as the cost is in excess of \$1K in total and the useful life is extended. Replacement of the main roller in the laundry ironer at a cost of \$3,200 would be capitalized since the cost of the roller is in excess of \$1K and the useful life is extended;
- Rearranging, remodeling or moving existing equipment (unless part of a major renovation*);
- Landscaping, including cost of plants and trees, and clearing, grading and planting hotel grounds;
- Operating equipment, including linen, chafing dishes, coffee urns, silver and china, even if the item's unit cost exceeds unit cost thresholds. (Refer to **FP-OPSFIN-001 – Accounting for Operating Equipment and Uniforms Policy**);
- General purpose painting (unless part of initial construction or major renovation);
- Pool cleaning;
- Power washing exterior of building;
- Initial Project Approval Requests ("PARs"), Operating Expenses, and Inventory;
- Resurfacing parking areas and painting lines in parking lots (slurry and tarring);
- Pre-opening costs (ceremonial costs, ribbon cutting, etc.).

Expenditures which do meet the characteristics included above should be expensed in the period incurred.

* A renovation must extend the useful life of an asset, increase the capacity of the asset, or improve the efficiency or safety of the asset. All renovation costs, which typically include design fees, construction costs, removal of existing furniture, painting, refurbishments, etc., are generally aggregated as one capital expenditure project when completing a major renovation of an existing hotel area or a betterment/addition to the hotel (e.g. conversion or repurposing of a space).

APPLICABILITY

This policy applies to all Finance personnel, as well as Asset Management and Legal.

EXCLUSIONS/ EXCEPTIONS

Managed Hotels (including Managed Timeshare Resorts) – certain hotel owners have approved fixed asset policies differing from the policy outlined herein and as a result those hotels must adhere to their respective Management Agreements and any specific fixed asset policies approved by the respective hotel owners.

To the extent that the Management Agreements are silent on accounting for fixed assets and the hotel owners have not specified a specific methodology for accounting for fixed assets, the Managed hotels must adhere to the policy herein. Furthermore, to the extent that the hotel owners of Managed hotels request Hilton to maintain the fixed assets on their behalf, the Managed Hotels must adhere to the policy herein.

Intangible Assets & Software– Please refer to **FP-FIN-017 – Intangible Assets Accounting Policy** for guidance on the appropriate accounting. Examples of Intangible Assets include but are not limited to: Management & Franchise Contracts, Brands, Goodwill, and Other Identified Intangible Assets. For software, please refer to **FP-FIN-016 – Internal Use Software Accounting Policy** for further guidance.

FF&E at Lease Properties for which Hilton does not own the Improvements – Please refer to **FP-FIN-007 – Accounting for Leases Policy** for guidance on the appropriate accounting.

Operating and Finance Lease ROU assets – Please refer to **FP-FIN-007- Accounting for Leases Policy** for guidance on the appropriate accounting for initial recognition and measurement of operating and finance lease ROU assets and for the subsequent measurement of operating ROU assets.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy must be notified to determine the appropriate accounting for all of the following situations:

1. If a building or renovation project involves demolishing all or part of an existing building.
2. If leasehold improvements are made to a leased space (e.g. Partition walls and ceilings) that are funded or partially funded by the lessor (or landlord) in conjunction with a new lease or amendment.
3. Proposed sales, disposals or acquisitions of owned hotels or investments in ventures or similar entities and/or the exit of leased properties.
4. Changes to or requests for using useful lives in excess of the lease term (or remaining lease term) at leased properties.
5. Certain exterior painting and caulking when the project is part of a broader capital plan. Painting and caulking must encompass a majority of the building in order to be considered categorizing as Building and Building Improvements.
6. If Hilton receives assets used to provide services upon termination of a service agreement.
7. Assets are acquired in a non-monetary exchange.

Additional Consultation Requirements

The following consultations/approvals are required related to fixed assets:

1. Any Owned, Leased, or Consolidated JV hotel not in adherence with this policy must communicate that directly to the Regional VP of Operations Finance (all hotels), and VP, International Controller (Non-US hotels), VP, or SVP Corporate Accounting (US hotels) in accordance with **FP-OPSFIN-152 – Exceptions to Global Policy Instructions**.
2. All changes to the useful life of an asset or requests for using useful lives other than within this policy should be submitted to your Regional Finance Director. All changes must be approved by VP, International Controller, or VP Centralized Accounting (Memphis/McLean).

INITIAL RECOGNITION AND MEASUREMENT

All fixed assets are initially recognized and recorded at cost on the balance sheet. This cost includes all costs to acquire an asset and all costs required to prepare an asset for its intended use (i.e. freight, installation, testing, sales taxes, interest during construction, etc.)¹. Interest costs related to installment purchase contracts or capitalized leases are not part of the cost of the asset and should not be included.

A Construction-in-Progress (“CIP”) account must be used to accumulate project construction costs for all assets that have not yet been placed in service. The DOF/Controller/FM (or related team responsible for the fixed asset accounting) must hold recurring meetings or discussions with the Architecture and Construction Team (or A&C) or other departments in respect of ensuring the appropriate determination of accumulated CIP (including any amounts to be accrued) and the in-service date for completed projects.

The DOF/Controller/FM (or related team responsible for fixed asset accounting) is also responsible for reviewing the CIP account monthly to ensure that the costs of completed projects are being transferred to the appropriate fixed asset accounts timely and that depreciation commences as of the date the related assets are placed in service.

¹ ASC 360-10-30-1, *Historical Cost Including Interest*

Below are Hilton's major asset categories and examples of typical costs to include:

<u>Fixed Asset Category</u>	<u>Typical Costs Included</u>
Land/ Land Entitlements	Costs incurred to acquire land or land entitlements should be capitalized as part of the cost of the acquired land. • Purchase price • Real estate commissions paid by purchaser • Legal expenses (if expense exceeds \$75k) • Title insurance policy • Real estate surveys • Cost of option (if option is exercised) • Demolition of old buildings on land (to prepare for intended/alternate use) • Past-due real estate taxes if paid by purchaser • Interest during construction*
Buildings and Building (Owned & Managed Hotels)/ Leasehold Improvements (relevant only to Leased Hotels & Facilities)	Costs incurred to acquire or construct a building should be capitalized as part of the cost of the building or as leasehold improvements. • Cost of building/ construction costs • Building permits • Plans and blueprints • Site preparation (grading and excavation) • Sidewalk/paving replacements • Past-due real estate taxes if paid by purchaser (at time of purchase) • Architectural and engineering fees • Temporary facilities (buildings or trailers) used during construction • Interest during construction* • Other costs (legal fees if expense exceeds \$75k, real estate taxes during construction period, etc.) incurred solely as a result of acquiring or constructing the building • Environmental Studies – note that in building on new sites, if it is determined there is an environmental liability, recording a post-retirement obligation may be required, refer to FP-FIN-025 – Asset Retirement Obligations Accounting Policy. • In-house labor - Hilton Construction & Architecture team costs** The following are examples of acceptable Building Improvement and Leasehold improvements costs: • Life safety systems • Asbestos removal costs • Central air conditioning systems • Elevator/escalator modernization • Changes to office and store rental space, including conversion of guestrooms to rental space • Office and hotel renovation/construction involving movement of doors, ceilings, and walls considered to be permanent changes to the building with an expected 40 year useful life • Construction of areas for ice and vending machines • Garbage, linen and paper chutes • New floor re-tiling • New roofs • Installation of acoustical ceiling • Swimming pools • Window replacements

	• New movable doors/walls in public rooms • Replacement of hot and cold water risers and other structural plumbing • Changes to cooling towers/chilled water coils • Changes to electrical wiring, panels, transformers, and risers • Boiler conversion/replacement • Installation of new sound system or extensive revision to existing system • Installation of hard-wired smoke detectors • Outdoor fencing • Outside lighting • Electronic lock systems • Tuck-pointing of section of building exterior • Signage • Emergency Lighting • Building structure and infrastructure cladding • Millwork (i.e. baseboards, door/window/crown molding, attached shelving, chair rails, etc.) • Custom furniture and equipment included in millwork contract • Faucet, sanitary ware • Smaller plant pumps Leasehold improvements are structural improvements or changes to leased assets, which typically revert to the lessor when the lease ends. In some cases the lease will include provisions that may require Hilton to remove or dismantle any leasehold improvements made to the leased property. Refer to FP-FIN-025 – Asset Retirement Obligations Accounting Policy if the lease includes these types of provisions.
FF&E	The following are examples of costs that should be capitalized as part of the cost of FF&E. • Cost of furniture/equipment • Freight and import duties • Sales or use taxes on purchase • Installation by outside labor • HSM fees (if required) • Reupholster charges • Drapes, including installation and blackout drapes • Carpets, including padding and installation • Electrical fixtures • Television and radios • Housekeeping equipment • Vending machines • Ice machines • Kitchen and food working equipment • Bar and bar working equipment • Office furniture • Computer equipment • Refrigeration equipment • Tools and other equipment • Audio visual equipment • Window air conditioning units • Movable lighting fixtures • Laundry machinery and working equipment • Automobiles and trucks • Gaming equipment (i.e. slot machines, etc.) • Banquet equipment (i.e. tables, chairs, etc.) • Wall coverings (vinyl, paper installation, painting) incurred as part of a remodeling

- | |
|--|
| <ul style="list-style-type: none"> project • Revisions to dining rooms and bars incurred as part of a remodeling project • Conversion of walk-in freezers • Model Rooms • Artwork • New marquees • In-house labor** |
|--|

* For interest capitalization guidelines on developed projects and large remodeling projects see **FP-FIN-023 – Capitalized Interest Accounting Policy**.

** For in-house labor costs such as Architecture and Design costs during construction, refer to **FP-FIN-002 – Capitalization of Employee Labor Costs Accounting Policy**.

SUBSEQUENT MEASUREMENT

a. Depreciation

Depreciation is a method for allocating the cost of an asset to the income statement over its estimated economic (as opposed to physical) life². Hilton computes depreciation using the “straight-line” method as it represents the most systematic and rationale way of matching the cost of the fixed assets to their expected use. Salvage value should be considered only in the rare instance it can be determined with reliability (i.e. certain capital leases might contain a provision for a “guaranteed residual or salvage value”).

Useful Lives

The following lives are to be used for depreciating assets:

<u>Fixed Asset Category</u>	<u>Useful Life</u>
Land	Not depreciable.
Buildings	40 years.
Building/ Land Improvements	8 - 40 years depending on frequency of replacement for the particular addition. See Appendix I for suggested lives.
Finance Lease ROU Asset	The shorter of the lease term or the useful life of the underlying asset (dependent on the Asset Category). If the lease transfers ownership of the underlying asset to the lessee or the lessee is reasonably certain to exercise an option to purchase the underlying asset, the useful life of the underlying asset should be used. ³
Leasehold Improvements	The shorter of useful life (per building or building improvements useful life) or remaining lease term.
FF&E	3 - 8 years Note: There is a cycle whereby hotels undergo soft refurbishments every 8 years and therefore it is acceptable if hotels want to use an 8 year useful life for most FF&E. Hotels can also assign an estimated useful life for each specific FF&E asset that is within the range of 3 to 8 years depending on each specific asset's intended use and expected useful life at the hotel.

² ASC 360-10-35-4, Property, Plant, and Equipment, Depreciation

³ ASC 842-20-35-8, Leases, Subsequent Measurement

Computer Equipment – Hardware*	3 - 5 years.
Automobiles & Trucks	5 years.
Other Equipment (planes, boats, etc.)	Individual basis, based on estimated useful life

* For capitalization guidelines on software see **FP-FIN-016 – Internal Use Software Accounting**.

Deviations from the above lives may be appropriate in certain cases and require approval. Refer to **Authorization** section of the policy above.

In-Service Date and Depreciation Calculation

An asset will start depreciating on the date it is placed in-service (the “in-service date”). For example, for a room renovation, the rooms will be considered to be placed in service on the date they become available for guests to occupy. The in-service date does not necessarily need to align to the date the asset was acquired if an asset is not available for immediate use (i.e. is part of a larger renovation project). The accounting team (or whoever is responsible for the accounting for the fixed assets) should obtain input from the project manager regarding an asset’s in-service date. For assets placed in service immediately after receipt, the in-service date is the date the asset was received at the hotel and the hotel started to use the asset. This date could be different than the invoice date.

Straight-line depreciation is computed over the estimated useful lives outlined in the table above, starting from the in-service date. A full year’s depreciation is calculated by dividing the cost of the asset by the asset’s estimated useful life. The basic formula is as follows:

$$\text{Annual Depreciation Expense} = \frac{\text{Fixed Asset Cost}}{\text{Estimated Useful Life (Years)}}$$

Depreciation expense for the year in which an asset is acquired and placed in service is computed as follows:

Depreciation expense is to begin in the month the asset is placed in service. The monthly depreciation expense is calculated as 1/12th of a full year’s depreciation.

For a newly constructed building, the complete renovation of an existing building, or a major renovation of a section of a building, depreciation commences as of the date the asset is placed in service. If only a section of the building is opened, depreciation should be calculated on the basis of the percentage of rooms open to the total rooms covered by the project. Once the project is complete, depreciation commences on the remaining section of the building.

Subsequent Change in Fixed Asset Useful Life

Changes to the useful life of an asset are driven by a change in specific facts or circumstances. Additionally, certain jurisdictions may require an annual review of the economic life of an asset which may result in change of the useful life. A change in the useful life is considered to be a change in an accounting estimate and should be accounted for on a prospective basis. The current carrying amount of the fixed asset should be straight-lined over the new useful life to calculate the new depreciation expense. No retrospective adjustment should be made to previously recognized depreciation expense.⁴

b. Assets Held for Sale

No depreciation shall be recognized on assets classified as held for sale⁵. Refer to **FP-FIN-012 – Assets Held for Sale and Discontinued Operations Accounting Policy**.

⁴ ASC 250-10-45-17, *Accounting Changes and Error Corrections, Change in Accounting Estimate*

⁵ ASC 360-10-35-43, *Property, Plant, and Equipment, Accounting While Held for Sale*

c. Impairment of Fixed Assets

Fixed asset may become impaired when the carrying amount of the asset exceeds its fair value. Impairment only occurs when this amount has been deemed to not be recoverable⁶. Refer to **FP-FIN-033 – Impairment Accounting Policy** for details around Hilton’s impairment process.

If an impairment loss is recognized, the adjusted carrying amount of the fixed asset shall be its new cost basis.⁷ This new cost basis shall be depreciated over the remaining useful life of the asset. Restoration of a previously recognized impairment loss is prohibited.

DERECOGNITION

a. Disposals and Write-offs

Once an asset has been fully depreciated, it should remain on the fixed asset sub-ledger until it is ultimately disposed of (e.g. sold or removed from the hotel). If an item has been disposed of (other than by sale) and still has an amount to be depreciated, the remaining net book value must be written down to zero (i.e. record additional “accelerated” depreciation expense) and the gross cost and related accumulated depreciation should subsequently be removed from the fixed asset sub-ledger.

If the fixed asset is sold, then a gain/loss on sale must be calculated by comparing the amount received for the asset to the carrying value. Any gain or loss is posted to the income statement in the period that the sale takes place⁸. At time of sale the fixed asset and related accumulated depreciation of that asset (i.e. net book value) must be removed from the fixed asset sub-ledger. Refer to Hilton’s **FP-FIN-012 – Asset Held for Sale and Discontinued Operations Accounting Policy**.

If the fixed asset register is maintained by either the Corporate Fixed Asset team in Memphis, Orlando or in FASST, the DOF/Controller/FM must provide the detail for any disposals in order for these teams to record this activity in the respective fixed asset sub-ledger.

Historically, assets may have been recorded in bulk within the fixed asset sub-ledger (e.g. “Second floor refurbishment”). If the individual asset being disposed of (via sale, renovation, or breakage) cannot be separately identified from the bulk assets historically recorded, an allocation should be performed to determine the appropriate balance to write-off based on a percentage of the bulk amount initially recorded. The allocated amount should then be removed from the fixed asset sub-ledger (gross amount and accumulated depreciation). If there are any asset categories that are not fully depreciated, the net amount should be expensed as additional depreciation.

PRESENTATION

a. Assets Held for Sale and Discontinued Operations

Refer to **FP-FIN-012 – Assets Held for Sale and Discontinued Operations Accounting Policy**.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Initial capitalization of fixed assets: Recorded at cost on the balance sheet.	- Property and equipment, net (debit); - Cash and cash equivalents or Accounts payable, accrued	- N/A	- Investing Activities (Outflow)

⁶ ASC 360-10-35-17, Property, Plant, and Equipment, Measurement of an Impairment Loss
⁷ ASC 360-10-35-20, Property, Plant, and Equipment, Adjusted Carrying Amount Becomes New Cost Basis
⁸ ASC 360-10-40-5, Property, Plant, and Equipment, Recognition of Gain or Loss from Sale

	expenses and other (credit)		
Recognition of depreciation based on historical cost divided by the estimated useful life.	- Property and equipment, net (credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Write-off of asset (disposal)	- Property and equipment, net (debit & credit)	- Depreciation and amortization (debit)	- Operating Activities (reconciling item to net income)
Write-off of asset (sold for Gain/Loss)	- Property and equipment, net (debit & credit); - Cash and cash equivalents or Accounts payable, accrued expenses and other (debit)	- Gain (loss) on sales of assets, net (debit or credit)	- Investing Activities (Inflow)
Impairment of Asset: Write down the value of the asset when circumstances dictate so and allocate to the income statement.	- Property and equipment, net (credit)	- Impairment loss (debit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-OPSFIN-001 – Accounting for Operating Equipment and Uniforms Policy](#)

[FP-OPSFIN-152 – Exceptions to Global Policy Instructions](#)

[FP-FIN-002 – Capitalization of Employee Labor Costs Accounting Policy](#)

[FP-FIN-007 – Accounting for Leases Policy](#)

[FP-FIN-012 – Assets Held for Sale and Discontinued Operations Accounting Policy](#)

[FP-FIN-016 – Internal Use Software Accounting Policy](#)

[FP-FIN-023 – Capitalized Interest Accounting Policy](#)

[FP-FIN-025 – Asset Retirement Obligations Accounting Policy](#)

[FP-FIN-033 – Impairment Accounting Policy](#)

[FP-FIN-035 – Business Combinations Accounting Policy](#)

POLICIES & PROCEDURES

[ATTACHMENT I](#)

LOCATION

Fixed Asset Sub-ledger Componentization
 Suggested Descriptions & Useful Lives Buildings and Building Improvements
 Suggested Descriptions for Furniture, Fixtures & Equipment (FF&E)

<u>ATTACHMENT II</u>	Fixed Asset Roll-forward example template
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ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearchPolicy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.